a receiver. Sometimes it is also called liquidation, clearing system or clearing service. It ensures the transfer of value from one subject of the economy to another and plays an important role in modern monetary systems.

Modern payment systems may be physical or electronic and each has its own procedures and protocols that guide the financial institution with payment mechanisms and legal systems. Standardization has allowed some of these systems to grow globally.

The term electronic payment refers to a payment made from one bank account to another bank account using electronic methods forgoing the direct intervention of bank employees.

Payment system is an essential part of a company's financial operations. But it becomes complex, when many different payment systems are used. Further challenges come from the continuous introduction of newer payment systems such as paytm, UPI, bitcoin and various mobile payment options. As a result there are more than 750 payment systems throughout the world. See Figure 16.1



Figure 16.1 Electronic Payment Systems

16.2 Classification of Electronic Payment methods

Many electronic payment methods have been developed with the advancements in the Internet technologies. Based on the value of money transactions, processing time, processing requirements, security issues and usability, electronic Payment systems are generally classified into two types. They are

- Micro electronic Payment Systems
- Macro electronic Payment Systems

16.2.1 Micro electronic Payment Systems

It is an on-line payment system designed to allow efficient and frequent payments of small amounts. In order to keep transaction costs very low, the communication and computational costs are minimized here. Unlike macro electronic payments, which use expensive public key cryptography, micro electronic payment are relaxed by using light weight cryptographic primitives and off-line payment verifications.

As the security of micro electronic payment systems is comparatively low it can be tampered but, the cost of fraud is much higher than the possible value to be gained by fraud itself. So the security in micro electronic payment methods is considered to be adequate. The majority of micro electronic payment systems are designed to pay for simple goods on the Internet. e.g., subscriptions of online games, read journals, listen to a song or watch a movie online etc.

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